

How to get the money

This sounds too much to do. Who can save so much in the early years and what about the other goals like kids' education, their marriage, a house and vacations? Let's open up these numbers.

First, you need to save this much only if you don't have a single rupee in savings anywhere. If you have savings or other assets, this number will come down. If you plan to keep working beyond age sixty, this number will come down. Most people have more than they think.

Consolidate your money. There will always be money lying around in savings deposits waiting for an emergency. We hoard cash thinking that we will need it in the near future. I know a family that kept Rs 7 lakhs in a saving deposit for over five years waiting for the 'sudden need'.

We learnt how to create an emergency fund, a medical cover for your family and a pure term cover for yourself to build a safety net. You need less liquid cash if you do these three things.

Next, count all the balances in your provident fund, your public provident fund, your fixed deposits, gold, any real estate other than the home you live in. Include the value of your mutual funds if any; find out what the value of the endowment or money-back policies are and count those in as well. The more you have already, the less you need to target. Do not underestimate the power of order in your money box.

Two, remember that you are already saving 24 per cent of your basic income through your employees' provident fund (EPF) deductions. You contribute 12 per cent and your employer matches that. By age thirty, most people have begun to do at least their tax-saving investments, if not a bit more. Count that in when you think about the 30 per cent or 40 per cent number we read about in the 'Save your age' section above.

If you are self-employed or not part of an EPF, you are more vulnerable than those with a mandatory retirement plan in place. As the first step, make it mandatory in your head to save at least as much as others with their EPF. Then keep bumping up the number as your spending gets used to the saving rhythm.